

CHAPTER FOUR RECRUITMENT AND SELECTION

- ▶ 4.1. Employee Recruiting
- ▶ Successful employment planning is designed to identify an organization's human resource needs.
- ▶ Once these needs are known, an organization will strive to meet them. The next step in staffing, then—assuming, of course, that demand for **certain skills, knowledge, and abilities is greater than the current supply—is recruiting.**
- ▶ The company must acquire the people necessary to achieve the goals of the organization

▶ 4.1.1. **Features of recruitment**

- ▶ Recruiting is the process of discovering potential candidates for actual or anticipated organizational vacancies.
- ▶ Recruitment involves seeking and attracting a pool of people from which qualified candidates for job vacancies can be chosen.
- ▶ **In effect, it involves:**
 - ▶ Identifying the sources where the required number and kind of employees are/will be available.
 - ▶ Developing suitable techniques to attract the desirable candidates
 - ▶ Stimulating as many candidates as possible and be able to attract large number of candidates.
- ▶ The higher the number of applicants the better chance of being selective in the hiring process.

4.1.2. Purpose of recruitment

- ▶ 1. To attract people with multi-dimensional skills and experiences that suits the present and future organizational strategies.
- ▶ 2. To induct outsiders with a new perspective to lead the company.
- ▶ 3. To infuse fresh blood at all levels of the organization.
- ▶ 4. To develop an organizational culture that attracts competent people to the company.
- ▶ 5. To search or head hunt people whose skills fit the company's values. .
- ▶ 6. To search for talent globally and not just within the company.
- ▶ 7. To anticipate and find people for positions that does not exist yet.

4.1.3. Factors governing recruitment

- ▶ Recruitment is not a simple task and like most of the human resource functions, it is affected by both **internal and external environmental factors**.
- ▶ These factors could facilitate or limit the recruitment process in attracting large number of qualified candidates.
- ▶ Among the factors influencing effective recruitment are the following:
- ▶ **Internal Factors:**
 - ▶ Working Conditions
 - ▶ Promotional Opportunities
 - ▶ Salary levels, type and extent of benefits
 - ▶ Other personnel policies and practices

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- ▶ Image of the organization
 - ▶ Ability and skill of the management to stimulate the candidates
 - ▶ Quality of the recruitment process
 - ▶ **External Factors:**
 - ▶ Personnel policies and practices of other organizations regarding working conditions, salary, benefits, promotional opportunities, employee relations, etc.
 - ▶ Career opportunities in other organizations
 - ▶ Government regulations

A Sources of recruitment

- ▶ There are two sources of recruitment-Internal and External sources
- ▶ **1. Internal Sources:**
- ▶ Vacant positions in organizations could be filled by those existing employees through transfers, promotions and recall from lay-off.
- ▶ Most large organizations attempt to develop their own employees for positions beyond the lowest level.
- ▶ **Advantages:**
- ▶ a. The company has better knowledge of the strength and weakness of job candidates.
- ▶ b. Inside job candidates have better knowledge of the organization and its operations.
- ▶ c. Employees see that competence is rewarded and moral and performance may thus be enhanced.
- ▶ d. The return on investment that an organization has on its present work force is increased

➤ **Disadvantages:**

- a. People can be promoted to the point where they cannot successfully perform the job.
- b. Infighting for promotions can negatively affect morale.
- c. Inbreeding of ideas can stifle new ideas and innovations.

➤ **2. External Sources**

- External sources provide a larger pool of candidates.
- It is often needed by organizations that are growing rapidly or have a large demand for technical and skilled managerial employees.

➤ **Advantages:**

- a. The pool of talent is much larger. Internal source may not lead to large number of possible candidates for a given open position.
- b. New insights and perspectives can be brought to the organization Expertise, excellence and experience in other organization can be easily brought into the organization.

- ▶ **Disadvantages:**
- ▶ a. Attracting, contacting, and **evaluating potential** employees is more difficult.
- ▶ This is especially more difficult for higher level jobs
- ▶ b. Adjustment or **orientation time** is longer for external candidates.
- ▶ c. **Morale problem can develop among internal** employees who feel qualified to do the job.
- ▶ Current employees might feel neglected and their level of performance may be affected

► ***B. Methods of Recruitment***

- **a. Job posting:** It means posting notices of job openings on organization bulletin boards for recruiting possible internal candidates. Accordingly, interested employees could apply for the job .
- **b. Skill inventory:** it is an internal recruitment method to identify employees with the attributes needed for a particular job.
- It is the systematic record, either manual or computerized, listing employee's education, career and development interests, languages, special skills, etc.
- **c. Job Advertisement:** It is a widely used recruitment method in order to reach relatively large numbers of potential applicants.
- Advertisements are commonly placed in daily newspapers, trade and professional newspapers, and occasionally on radio, TV, and billboards

- ▶ **d. College recruiting:** It involves recruitment from educational institutions that offer opportunities to recruit recent graduates.
- ▶ **e. Employment Agencies:** There could be public or private employment agencies. These agencies have information on job seekers in terms of qualifications, skills, interests, etc. and can be a good source of employment by organizations..
- ▶ **f. Employee referrals:** Some organizations encourage their employees to refer potential applicants to an open position.
- ▶ Announcements of openings and requests for referrals are made in the organization's bulletin and posted on bulletin boards.
- ▶ Prizes could be offered for those referrals that result in hiring.

▶ 4.2. Employee Selection

- ▶ It is the process of choosing the individual who can most successfully perform the job from the pool of qualified candidates.
- ▶ This process follows an effective recruitment program which should result in supplying enough job applicants to a given vacant position.

▶ 4.2.1. Selection criteria

- ▶ Selection criteria are typically presented in the form of a person specification representing the ideal candidate, and cover such areas as skills, experience, qualifications, education, personal attributes, special attributes, interests and motivation (IRS 2003a).
- ▶ Three perspectives can be used to determine selection criteria -
 - ▶ *organizational fit,*
 - ▶ *team/functional fit and*
 - ▶ *job fit.*

- ▶ ***Fit with the organization***
- ▶ The organizational criteria are those attributes that an organization considers valuable in its employees and that affect judgments about a candidate's potential to be successful within an organization.
- ▶ ***Functional and team fit***
- ▶ job criteria there are functional criteria, such as the definition of appropriate interpersonal skills for all **members of the HR department**.
- ▶ Criteria may also be important when the new appointee will have to fit into a pre-existing work team.
- ▶ ***Individual job criteria***
- ▶ Individual job criteria contained in **job descriptions** and person specifications are derived from the process of job analysis.

▶ **4.2.2. The selection process**

▶ The selection process used by organizations may vary depending on the size of the organization, the type of jobs to be filled and also the number of people to be hired. The basic selection process involves the following steps:

▶ **a. Application Form**

▶ It involves basic questions ranging from simple name and address kind of question to extended personal history profile.

▶ Questions that do not relate to the job at hand or open for discrimination should be avoided.

▶ **b. Preliminary Interview**

▶ It is used to get necessary information from the prospective applicants and to assess the applicant's suitability to the job.

▶ The information obtained may be related to the job or personal specifications regarding education, experience, salary expected, aptitude towards the job, age, physical appearance and other physical requirements.

c. **Employment Tests**

The next step is to conduct various employment tests to gather further information about applicants and thus be able to assess their suitability to the job. Some of the employment tests used by organizations include the following:

i. **Aptitude tests**

Measure a person's capacity or potential to learn and perform a job.

ii. **Job Knowledge and proficiency Test**

Job knowledge tests are used to measure the job related knowledge possessed by the applicant

iii. **Interest Test**

These are designed to determine how a person's interests compare with the interest of successful people who do the same type of job.

iv. **Personality Test**

It measures the basic aspect of an applicant's personality such as introversion, stability, and motivation.

- ▶ d. **Compressive Interview**

- ▶ The interview is usually done by a panel of interviewers consisting of human resource personnel, potential supervisor, and other executives that may be of relevance in assessing the applicant's qualification.
- ▶ The interview could be structured or unstructured.

- ▶ e. **Reference checking/Background Investigation**

- ▶ It involves contacting individuals who are listed as references to the applicant.

- ▶ f. **Physical Examination**

- ▶ It is given to determine whether an applicant is physically capable of performing the job and also to determine the applicant's eligibility for group life, health and disability insurance.

- ▶ g. **Final employment Decision**

- ▶ If the above steps successfully accomplished, the best qualified individual can be identified.

- ▶ **Basic Testing Concepts**

- ▶ **a. Reliability b. Validity**

- ▶ **4.3. Orientation [induction]**

- ▶ It is the introduction of new employees to the organization, work unit, and job. This can be done by oral or written communications like manual, guidelines, etc

- ▶ **4.3.1. Purpose of orientation**

- ▶ New-employee **orientation** covers the activities involved in introducing a new employee to the organization and to the individuals in his or her work unit.

- ▶ **4.3.2. Levels of Orientation**

- ▶ **A. General Company orientation:** it covers topics of relevance and interest to all employees.

- ▶ **Overview of the organization:** like founding, growth, goals, priorities, problems, etc.

- ▶ **Key Policies and Procedures** , Compensation ,Fringe Benefits and

- ▶ **Safety and Accident prevention:**

- ▶ **B. Departmental and Job Orientation**

- ▶ **Department Functions**

- ▶ **Job Duties and Responsibilities**

- ▶ **Policies, Procedures, Rules and Regulations:**

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CHAPTER FIVE

HUMAN RESOURCE TRAINING AND DEVELOPMENT

► 5.1. Introduction

- No organization can function without people; in fact no organization can function without developed people.
- **Concepts of Training and development**
- **Training** is defined as any attempt to improve **employee performance** on a currently held job or one related to it. This usually means changes in specific knowledge, skills, attitudes, or behaviors.
- Training consists of planned programs designed to improve performance at the individual, group, and/ or organizational levels.
- **Development** refers to **learning opportunities** designed to help employees grow. Such opportunities do not have to be limited to improving employee's performance on their current jobs.

Distinction between Training and Development

Training

Training means learning skills and knowledge for doing a particular job. It increases job skills.

The term 'training' is generally used to denote imparting specific skills among operative workers and employees.

Training is concerned with maintaining and improving current job performance. Thus, it has a short-term perspective.

Training is job-centred in nature.

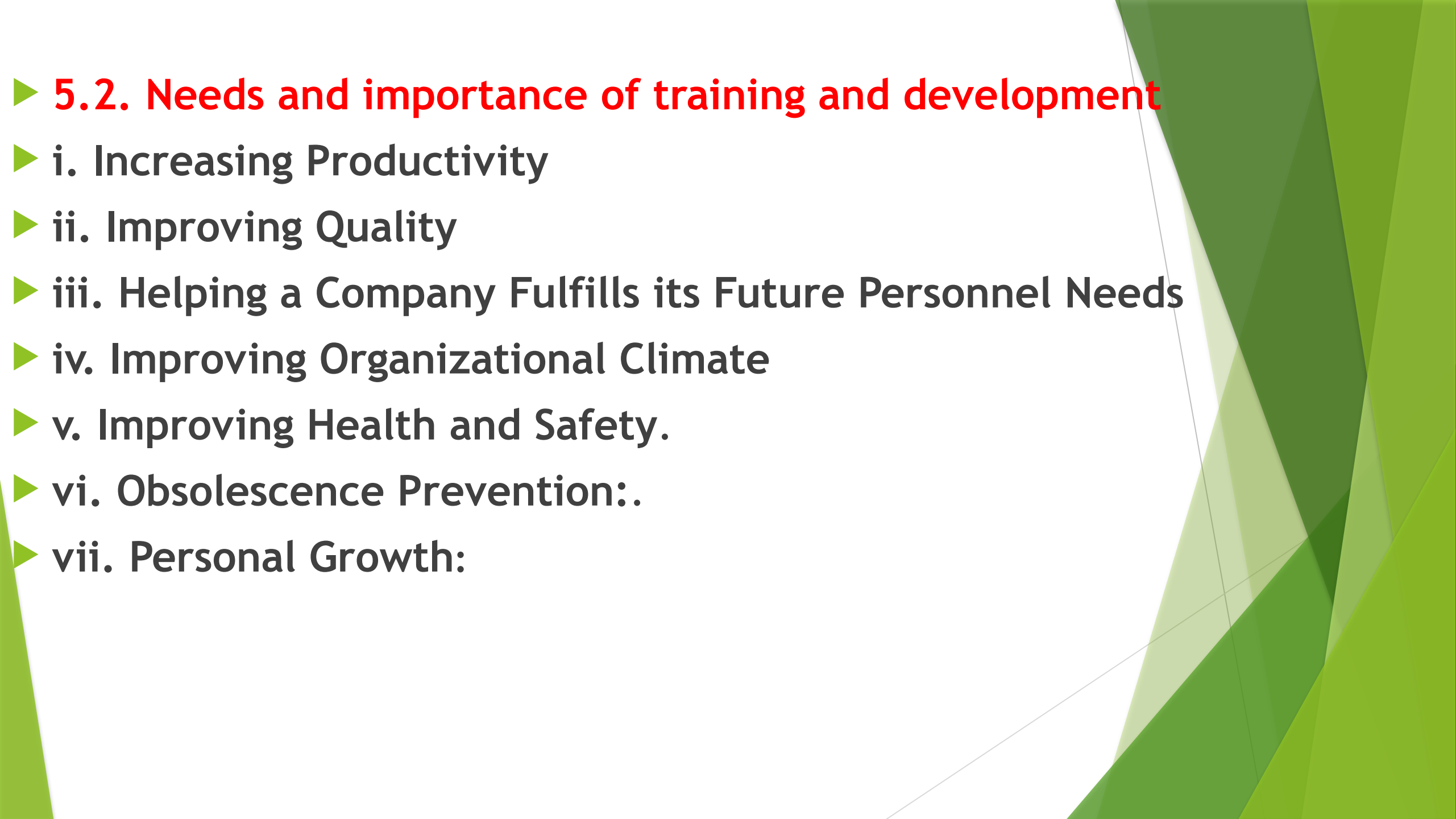
Development

Development means the growth of an employee in all respects. It shapes attitudes.

The term 'development' is associated with the overall growth of the executives.

Executive development seeks to develop competence and skills for future performance. Thus, it has a long-term perspective.

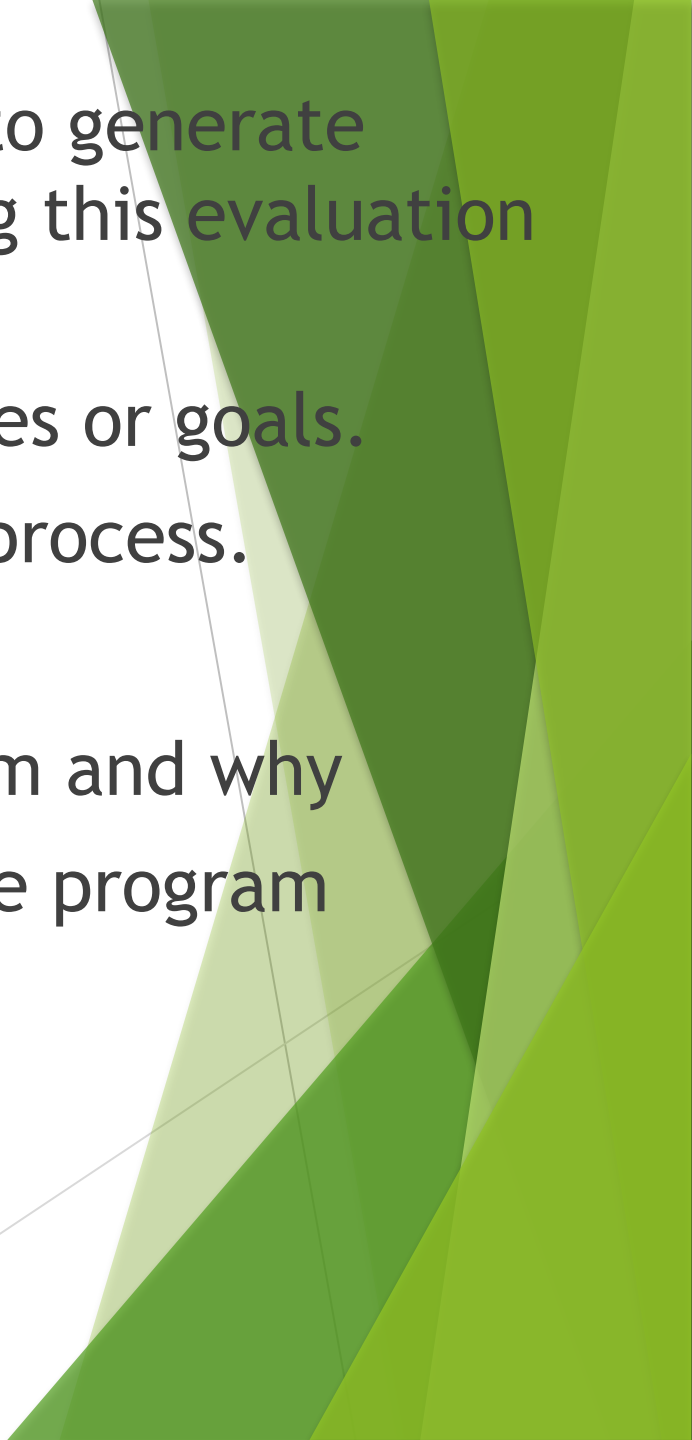
Development is career-centred in nature.

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- ▶ **5.2. Needs and importance of training and development**
 - ▶ i. Increasing Productivity
 - ▶ ii. Improving Quality
 - ▶ iii. Helping a Company Fulfills its Future Personnel Needs
 - ▶ iv. Improving Organizational Climate
 - ▶ v. Improving Health and Safety.
 - ▶ vi. Obsolescence Prevention:..
 - ▶ vii. Personal Growth:

- ▶ **5.3. Process of training and development**
- ▶ Training programs are costly propositions. They are time and energy consuming too.
- ▶ **1. Determining the need and Priorities for Training:** The very first step in designing a training program is to determine the organization's need for such program.
- ▶ a. **Organizational Analysis:** *Organizational needs analysis* begins with an assessment of the short- and long-term strategy and strategic business objectives of the company.
- ▶ b. **Operational/ Job Analyze:** It assists to decide what the training should consist of, requiring a study of what a person should be taught if he is to perform his task with maximum effectiveness. A job needs analysis identifies
- ▶ c. **Personal need analysis:** It is used to determine who needs to be training and what skills and knowledge or attitudes should be augmented or improved .
- ▶ **2. Translating needs into Objectives and Establishing Training Goals:**
These training objectives or goals are then used to determine the specific courses that will be offered.

3 Selecting Trainees:

- ▶ They are at least four important considerations important in selecting trainee:
 - ▶ legal requirements and formalities
 - ▶ employee needs and motivation
 - ▶ skills obsolescence and retraining, and
 - ▶ multi-skilling.
- ▶ **4. Making the Curriculum and Choosing Training Methods** After *-deeming* training objectives and translating into specific course areas.
- ▶ 5. Preparation of training budget
- ▶ 6. Selecting trainers and providing training to trainers.
- ▶ 7. Using selected training technique.
- ▶ 8. Performance or learning tryout: As the training continues, it is important that the progress of trainees should be monitored.

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- ▶ **9. Evaluation system of training program.** In order to generate adequate feedback, some key purposes of conducting this evaluation are:
 - ▶ I. Determining whether a program meets its objectives or goals.
 - ▶ II. Identify strengths and weaknesses in the training process.
 - ▶ III. Calculate the cost-benefit ratio of a program.
 - ▶ IV. Determine who benefited the most from a program and why
 - ▶ V. Establish a data base for further decision about the program

5.4. Training methods

- ▶ Many different techniques can be used for training and development activities. Three general categories of techniques are on-the-job, on-site, but not on the job, and off-site.
- ▶ **1. On- the- Job Training (OJT)** occurs when employees learn their jobs under direct supervision
 - ▶ *Apprenticeship, Internships, and Assistantships*
 - ▶ **Job Experiences, Supervisory Assistance and Mentoring , Mentoring and Coaching**
- ▶ **2. On-Site, but Not On the Job Training**
 - ▶ It's also appropriate for voluntary after-hours programs and for programs that update employees' competencies while allowing them to attend to their regular duties.
 - ▶ **Corporate Universities and Executive Education Programs**
 - ▶ **Programmed Instruction**

- ▶ **3. Off-the-job training** is also appropriate when complex competencies need to be mastered or when employees need to focus on specific interpersonal competencies that might not be apparent in the normal work environment.
- ▶ **Formal Courses**
- ▶ **Simulation:** Simulation, which presents situations that are similar to actual job conditions, is used for both managers and non managers.
- ▶ **Assessment Centers.** Just as they are popular in managerial selection, assessment centres are an increasingly popular simulation technique for developing managers.
- ▶ **Business Board Games** Employees actually play the game, and as they do, they learn about the company and how the company runs the business and makes a profit or loss.
- ▶ **Role-Playing and Sensitivity Training:** Whereas simulation exercises may be useful for developing conceptual and problem-solving skills,
- ▶ **Wilderness Trips and Outdoor Training:** organizations sometimes use programs that involve physical feats of strength, endurance, and cooperation.

▶ **Who provides the training?**

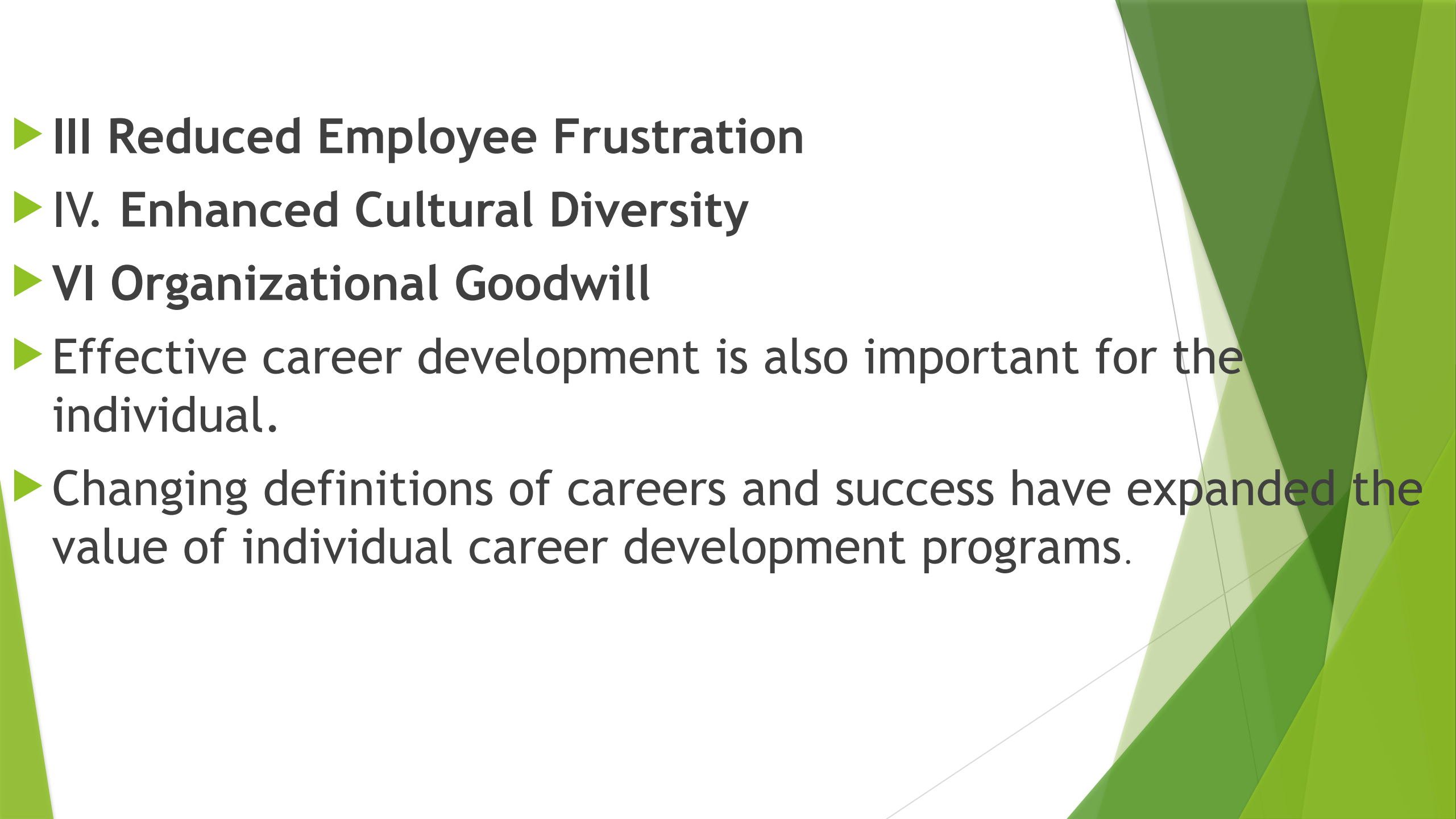
- ▶ Training and development activities may be provided by any of several people, including
 - ▶ Supervisors and other managers
 - ▶ A co-worker,
 - ▶ An internal or external subject matter expert, and
 - ▶ The employee

▶ **Concept of the Executive Development**

- ▶ Executive or management development consists of all activities by which executives learn to improve their behavior and performance.
- ▶ It designed to improve their behavior and effectiveness of managers in their present jobs and to prepare them for higher jobs in future.

Nature of Executive Development

- ▶ a) **Educational Process**: Development is more akin of education than it is to specific training in the skill
- ▶ (b) **Behavioral Changes**: Executive or Management development is a planned learning process and growth
- ▶ (c) **Self-Development**: Manager develops them by participating in training organized by the organization
- ▶ They also make use of actual job experiences in learning new behavior.
- ▶ (d) **Continuous Process**: Executive development is an ongoing or never ending exercise rather than a one-time affair
- ▶ **5.5 Career Development**
- ▶ Career development looks at the long-term career effectiveness and success of organizational personnel
- ▶ **Career Development: Value for the Organization**
- ▶ Organization can accrue several positive results can accrue from a well-designed career development program
- ▶ I. Needed Talent Will Be Available
- ▶ II. The Organization's Ability to Attract and Retain Talented Employees Improves

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- ▶ **III Reduced Employee Frustration**
 - ▶ **IV. Enhanced Cultural Diversity**
 - ▶ **VI Organizational Goodwill**
 - ▶ Effective career development is also important for the individual.
 - ▶ Changing definitions of careers and success have expanded the value of individual career development programs.

CHAPTER SIX PERFORMANCE APPRAISAL

► Introduction

- Performance appraisal or Performance evaluation is a method of evaluating the behavior of employees in a work place, normally including both the quantitative and qualitative aspect of job performance.
- Performance here refers to the degree of accomplishment of the tasks that makeup an individual job.

► 6.1. Definitions

- According to Edwin Flippo, –Performance appraisal is the systematic, periodic and an impartial rating of an employee's excellence in matters pertaining to his present job and his potential for a better job.

► 6.2. Objectives of Performance Appraisal

- Performance appraisal helps the employees in Self-improvement and Self-development.
- It helps the management in taking decisions about Placement, Promotions, Transfer, Training and Development, etc.
- It should be for improving the employees and their performances.
- **1. Help in Deciding Promotion**
- **2. Help in Personnel Actions:** Personnel actions such as lay-offs, demotions, transfers and discharges etc
- **3. Help in Wage and Salary Administration** In some cases appraisal, i.e., merit and seniority are combined for higher salaries on better positions.
- **4. Help in Training and Development:**
- **5. Help in Self Evaluation:** Performance appraisal helps the employee in another way also.
- **6. Help in Creating Healthy Competition**

- ▶ **6.3 Performance appraisal steps**
- ▶ Appraisal Process includes;
- ▶ a) **Establishing Performance Standards:**
- ▶ b) **Communicating standards to employees:** Inform these standards to all the employees including appraisers.
- ▶ c) **Measuring actual employees' performance:**
- ▶ d) **Evaluating factors affecting performance.** Such factors may include inadequate work facilities, equipments, restrictive policies, lack of cooperation from others, type of supervision, working conditions, etc.
- ▶ e) **Comparison of actual performance with set standards:** Comparing actual performance with standards set and finding out if there is any deviation.
- ▶ f) **Discussing the appraisal with the employee:**
- ▶ g) **Initiating necessary corrective actions:** this includes guiding, counseling, coaching and directing the employee

- ▶ **6.4. Problems in Performance Appraisal**
- ▶ The most common problems seen in performance appraisal include the following.
- ▶ **Lack of Objectivity:** These factors may include loyalty, attitude, personality, etc.
- ▶ **Halo Error:** raters may perceive one factor as having significant importance
- ▶ **Leniency:** rating consistently higher than the expected norm or average.
- ▶ **Strictness:** being excessively critical of employees performance and.
- ▶ **Central tendency:** Consistently rating employees near the average.
- ▶ **Personal bias:** raters having biases related employees' personal characteristics, race religion, gender, or age.

▶ **6.5 Performance Appraisal Methods**

▶ Three approaches exist for doing appraisals: No one approach is always best; each has its strengths and weaknesses.

▶ **1) Evaluating Absolute Standards**

This means that employees are compared to a standard, and their evaluation is independent of any other employee in a work group.

- ▶ a) **Critical Incident Appraisal Method**: This method focuses more on the behavior of employees on their jobs (performance) than traits (personality). Thus, it is more job-related than other methods
- ▶ b) **Checklist appraisal method**: The rater uses a list of behavioral descriptions required to do a job and put a check mark against those behaviors that apply to the employee. In a simple checklist method, the rater is asked to provide yes and no answer to the list of behaviors
- ▶ c) **Graphic Rating Scale method**: The list might include such factors as quantity and quality of work, job knowledge, cooperation, attendance, accuracy of work, etc.

➤ 2) **Relative Standards Methods**

➤ The second general category of appraisal methods compares individuals against other individuals. These methods are **relative standards** rather than absolute measuring devices.

a. **Group Order Ranking** Group order ranking requires the evaluator to place employees into a particular classification, such as the —top 20 percent.

b. **Individual Ranking**. The individual ranking method requires the evaluator merely to list employees in order from highest to lowest.

c. **Paired Comparison** The paired comparison method selects one job trait, and then compares each employee in a group with the others

▶ 3) **Using Achieved Outcomes to Evaluate Employees**

- ▶ Employees are evaluated on how well they accomplished a specific set of objectives determined as critical in the successful completion of their job.
- ▶ **Goal Setting or Management by Objective (MBO):** The emphasis is on what must be accomplished rather than how it is to be accomplished.
- ▶ **360-Degree Feedback** It consists of performance data generated from a number of sources, who can include the person to whom the individual being assessed reports, people who report to them, peers and internal and external customers.

▶ 6.6 Who Should Do The Appraisal?

▶ The most typical appraisers are supervisors, peers, subordinates, employees themselves, users of service and consultants.

▶ Characteristics of an Effective Appraisal System

▶ a) **Reliability and Validity:** An appraisal system should provide consistent, reliable and valid information and data, i.e.

▶ b) **Job Relatedness:** the criteria used for appraising employee performance should be job related. Information for the criteria should be determined through job analysis.

▶ c) **Performance Expectations:** This will ensure that employees direct their efforts towards the expected performance level.

- ▶ **d) Standardization:** Employees in the same job category should be appraised by using techniques, ratings etc., should be standardized as appraisal decisions affect all employees of the group.
- ▶ **e) Qualified Appraisers:** Responsibility for evaluating employee performance should be assigned to the individual (S) who directly observe at least a representative sample of job performance.
- ▶ **f) Employee Access to Results:** An effective appraisal system should provide feedback to employees on how well or bad they've performed.
- ▶ .

CHAPTER SEVEN COMPENSATION

▶ 7.1 Introduction

- ▶ A typical business organization furnishes different types of benefits to employees and their families in addition to wage and salaries.
- ▶ These benefits are typically administered by the personnel department.

▶ 7.2 Overview and Objectives of Employee Compensation

- ▶ To create sound industrial relations.
- ▶ To motivate the employees by identifying and satisfying their unsatisfied needs
- ▶ To recruit and retain the best personnel.
- ▶ To provide security to the employees against social risks like old age benefits and maternity benefits.
- ▶ To protect the health of the employees and to provide safety to the employees against accidents

► 7.3. Importance of Compensation

- It tries to give proper return to the workers for their contributions to the organization.
- It imparts a positive control on the efficiency of employees and encourages them to perform better and achieve the specific standards.
- It forms a basis of happiness and satisfaction for the workforce that minimizes the labour turnover and confers a stable organization.
- It stimulates the employees to perform better and show their excellence.
- It provides growth and advancement opportunities to the deserving employees

7.4 Factors affecting compensation

A number of factors influence the remuneration payable to employees.

i) external & ii) internal factors.

■ External Factors

■ Factors external to an organization are labor market, cost of living, labor unions, government legislations, the society, & the economy.

The Internal Environment

Among the internal factors which have an impact on pay structure are:

- The company's strategies
- Job evaluation: (the relative worth of jobs using internal and external reference)
- Performance appraisal
- The worker itself

7.5 Types of Employee Compensation

- ▶ Among the several ways to classify rewards, we have selected three of the most typical :
- ▶ **intrinsic versus extrinsic rewards,**
- ▶ **financial versus nonfinancial rewards,** and
- ▶ **performance-based versus membership-based rewards.**
- ▶ **I. Intrinsic versus Extrinsic Rewards**
- ▶ **Intrinsic rewards** are the personal satisfactions one derives from doing the job
- ▶ **Extrinsic rewards,** on the other hand, include money, promotions, and benefits.
- ▶ They are external to the job and come from an outside source, mainly management

▶ **II. Financial versus Nonfinancial Rewards**

- ▶ Financial rewards directly—for instance, through wages, bonuses, or profit sharing—
- ▶ Nonfinancial rewards indirectly, through employer-subsidized benefits such as retirement plans, paid vacations, paid sick leaves, and purchase discounts.
- ▶ Nonfinancial rewards present a variety of desirable extras for organizations

▶ **III. Performance-Based versus Membership-Based Rewards**

- ▶ **Performance-based rewards** use commissions, piecework pay plans, incentive systems, group bonuses, merit pay, or other forms of pay for performance.
- ▶ **Membership based rewards**, on the other hand, include cost-of-living increases, benefits, and salary increases attributable to labor-market conditions, seniority or time in rank, credentials (such as a college degree or a graduate diploma), a specialized skill, or future potential (for example, the recent MBA graduate from a prestigious university).

- ▶ **Direct Compensation**
- ▶ Direct compensation is used to describe the cash received in the form of base salary, overtime pay, shift differentials, bonuses, and sales commissions etc.
- ▶ **What Do Wage and Salary Refer to?**
- ▶ **Salary** is used to refer to the amount of money paid to an employee for his/her service to the organization.
- ▶ It is used to describe the amount paid to an employee whose output cannot be measured and quantified.
- ▶ This is especially true of a professional employee or an employee engaged to work as an office clerical stuff.
- ▶ **wage** is used to refer simply to an amount paid to non-professional or unskilled manual labor.
- ▶ Unlike salary wage is paid based on some quantifiable factors such as total number of hours worked or total number of units completed

- ▶ In any cases, organizations must have a sound wage and salary administration policy. The general objective of such policy is:
 - ▶ a) To control unnecessary costs.
 - ▶ b) Establishment of fair and equitable remuneration
 - ▶ c) To utilize wage and salary as an incentive to greater employee productivity.
 - ▶ d) Maintenance of a satisfactory public relation image.
- ▶ Every organization has its own wage and salary policy. Various types of wage and salary policies have been developed based on such factors as:
 - ▶ The nature of the business
 - ▶ The location of the business, and
 - ▶ Levels of competitors wage and salary

- **Approaches/strategies to the determination of wage and salary**
- A wide variety of incentive and wage plans for operative employees have been devised and used at different times and conditions.
- 1. **The time rate system of calculating wage.** This system is perhaps the oldest system of calculating wage or salary.
- It refers to the payment of a predetermined rate for normal time of work and relative to a time limit, such as an hour, day, week and month.
- 2. **The Piece-Rate System of Calculating Wage**
- Piece rate system pay directly related to units of out put produced
- 3) **Payment by Result System (PBR)**
- Payment by result is a payment system under which money rewards vary with the measured changes in performance according to predetermined rules.

► 4. Incentive Rate System

- The incentive rate system of wage calculation is used in a situation where:
 - **Output** is measurable in homogeneous units.
 - **Product** specifications do not vary frequently, and:
 - **Worker's** effort can directly influence output.
- Methods commonly used in incentive rate system of wage calculation involve:
 - a) **Straight piece work**: - where a *constant* rate of pay per unit of output is made, and
 - b) **Bonus plans**: - This involves in general the determination of *standard tasks* and *bonus payments* are made when a worker produces above a standard.

▶ 5. **Job Evaluation System**

▶ This system of wage calculation is a method where jobs are described, analyzed, compared and evaluated within a unit, a branch or an industry.

▶ **Indirect Compensation**

▶ Indirect compensation includes benefits and services. It can be defined as all employer provided reward and service other than wage and salaries.

▶ **Need for Extending Benefits**

▶ Employee demands;

▶ Trade Union demands;

▶ Employers Preference;

▶ As a social security;

▶ To improve human relation

► **Types of Employee Benefits and Service**

- The following are types of employee benefits and services:
- 1) Medical and safety benefits
- 2) Education and training benefits
- 3) Payment for time not worked
- 4) Employee service related benefits
- 5) Other employee benefits
 - a. Loan benefits
 - b. Pension or provident fund
 - c. Employee allowance
 - d. Funeral benefits
 - e. Dependant benefits and other

- ▶ **Three Major forms of insurance are involved: Health insurance, Life insurance and Accident and disability insurance**
- ▶ **I. Health Insurance**
- ▶ Health insurance provides health care coverage for both employees and their dependents, protecting them from financial disaster in the wake of a serious illness.
- ▶ ***II. Life Insurance***
- ▶ Life insurance is a benefit commonly available from organizations.
- ▶ When provide for all employees, it is called group life insurance.
- ▶ Group life insurance is one of the oldest and most widely available employee benefits.
- ▶ **III. Accident and Disability Insurance**
- ▶ In addition to health, life and dental insurance, many organizations provide some form of accident or disability insurance or both.
- ▶ Disability insurance is designed to protect the employee who experiences a long term or permanent disability.

- ▶ **Types of Service Related Employee Benefits**
- ▶ These are such varied programs as housing service, transportation service, cafeterias service, free parking lots, ability to purchase company products at a discount, personal and financial counselling, legal advice, employee assistance programs, and sports and recreation service.
- ▶ **Other Employee Benefit**
- ▶ The last category of employee benefits is other employee benefits, which include other than those already discussed in the previous tasks. for example loan benefits, disablements benefits, dependant benefits, funeral benefits, pension or provident fund and the like.

CHAPTER EIGHT INDUSTRIAL RELATION

8.1.1. Definition

- ▶ In the broad sense, industrial relations cover all such relationships that, a business enterprise maintains with various sections of the society such as workers, state, customers and public who come into its contact.
- ▶ The term ‘industrial relations’ is used in a general sense to describe the **formal relationships between employers and trade unions or other collective groupings of employees**, together with the institutional arrangements that arise from these relationships.
- ▶ According to Dale Yoder –industrial relations is the process of management dealing with one or more unions with a view to negotiate and subsequently administer collective bargaining agreement or labor contract.

► 8.1.2. Importance of Industrial Relations

- Maintenance of harmonious industrial relation is one vital importance for the survival and growth of enterprise
- 1. ***It establishes industrial democracy:*** This helps in establishing industrial democracy in the organization which motivates them to contribute their best to the growth and prosperity of the organization.
- 2. ***It contributes to economic growth and development:*** Good industrial relations lead to increased efficiency and hence higher productivity and income
- 3. ***It improves morale of the work force:***
- 4. ***It ensures optimum use of scarce resources:*** Good and harmonious industrial relations create a sense of belongingness and group-cohesiveness among workers,
- 5. ***It discourages unfair practices on the part of both management and unions:*** Industrial relations involve setting up a mechanism to solve problems confronted by management and employees
- 6. ***It prompts enactment of sound labor legislation:*** Industrial relations necessitate passing of certain labor laws to protect
- 7. ***It facilitates change:*** Good industrial relations help in improvement of cooperation, team work,

▶ **8.1.3. Principle of Good Industrial Relations**

- ▶ The willingness and ability of management and trade unions to deal with the problems freely, independently and with responsibility.
- ▶ Recognition of collective bargaining.
- ▶ Providing satisfactory working conditions and payment of fair wage.
- ▶ Introducing a suitable system of employees' education and training.
- ▶ Developing proper communication system between management and employees.
- ▶ To ensure better working conditions, living conditions and reasonable wages.
- ▶ To develop employees to adapt themselves for technological, social and economic changes.
- ▶ To make positive contributions for the economic development of the country.

- ▶ Trade unions have a crucial role to play in maintaining smooth industrial relations.
- ▶ It is true that the unions have to protect and safeguard the interests of the workers through collective bargaining.
- ▶ *Trade union is a continuous association of wage-earners or salaried employees for maintaining the conditions of their working lives and ensuring them a better and healthier status in industry as well as in the society”*
- ▶ *A union is an organization of workers, acting collectively, seeking to promote and protect its mutual interests through collective bargaining*
- ▶ **8.2.1. Why Employees Join Unions**
- ▶ **Higher Wages and Benefits-** The power and strength of numbers sometimes help unions obtain higher wages and benefit packages for their members than employees can negotiate individually.
- ▶ **Greater Job Security-** Unions provide their members with a sense of independence from management’s power to arbitrarily hire, promote, or fire.
- ▶ **Influence over Work Rules-** Where a union exists, workers can help determine the conditions under which they work and have an effective channel through which they can protest conditions they believe are unfair.

▶ 8.2.2. Functions of Trade Unions

- ▶ To safeguard workers against all sorts of exploitation by the employers, by union leaders and by political parties.
- ▶ To facilitate communication with the management.
- ▶ To preserve and strengthen trade union democracy.
- ▶ To improve the network of communication between trade union and its members.
- ▶ To create public opinion favorable to government's policies and plans, and to mobilize people's participation for their effective implementation.
- ▶ To create public opinion favorable to trade unions and thereby to raise their status.
- ▶ To render all sorts of constructive cooperation in the formulation and implementation of plans and policies relating to national development.
- ▶ To protect workers from the atrocities and unfair practices of the management.
- ▶ To ensure healthy, safe and conducive working conditions, and adequate conditions of work.

Typical Unionization Process



- ▶ 1. **Organizing Campaign**- like other entities seeking members, a union usually mounts an organized campaign to persuade individuals to join.
- ▶ 2. **Authorization Cards**: A union authorization card is signed by employees to designate a union as their collective bargaining agent
- ▶ 3. **Representation Election**
- ▶ 4. **Certification and Decertification**
- ▶ **8.2.4. Collective Bargaining**
- ▶ Collective bargaining, the last step in unionization, is the process whereby representatives of management and workers negotiate over wages, hours, and other terms and conditions of employment.
- ▶ This give-and-take process between representatives of the two organizations attempts to establish conditions beneficial to both.

▶ 8.2.5. Collective Bargaining Issues

▶ Collective bargaining is a source of solving the problems of employees in the work situation collectively.

▶ It provides a good climate for discussing the problems of workers with their employers.

▶ The employees put their demands before the employers and the employers also give certain concession to them.

▶ **management rights and union security are two important issues subject to collective bargaining.**

▶ **Management Rights:** Virtually all labor contracts include management rights, which are rights reserved so that the employer can manage, direct, and control its business.

▶ **Union Security:** A major concern of union representatives when bargaining is the negotiation of union security provisions, which are contract clauses to help the union obtain and retain members.

▶ One type of union security clause in labor contracts is the no-layoff policy, or job security guarantee.

► 8.2.5.1. Classification of Bargaining Issues

- The collective bargaining issues are divided into three. These categories are: mandatory, permissive, and illegal issues
- **Mandatory Issues:** Issues identified specifically by labor laws or court decisions as subject to bargaining are mandatory issues.
- Generally, mandatory issues relate to wages, benefits, nature of jobs, and other work related subjects.
- **Permissive Issues:** Issues that are not mandatory and that relate to certain jobs are permissive issues.
- For example, the following issues can be bargained over if both parties agree: benefits for retired employees, product prices for employees, and performance bonds
- **Illegal Issues:** A final category, illegal issues, includes those issues that would require either party to take illegal action.
- Examples would be giving preference to union members when hiring employees or demanding a closed-shop provision in the contract.
- If one side wants to bargain over an illegal issue, the other side can refuse.

▶ 8.2.6. Collective Bargaining Process

- ▶ The collective bargaining process involved in negotiating a contract consists of a number of stages:
- ▶ preparation and initial demands, negotiations, settlement or impasse, and strikes and lockouts.
- ▶ Throughout the process, management and labor deal with the terms of their relationship.

▶ 8.3 Grievance Handling

- ▶ Grievance is _any discontent or dissatisfaction, whether exposed or not, whether valid or not, arising out of anything connected with the company which an employee thinks, believes or even feels to be unfair, unjust and inequitable‘.
- ▶ Grievances usually result in definite and considerable losses to employee morale, efficiency and productivity.

8.3.1. Methods of Identifying Grievances

- ▶ 1. ***Directive observation***: In addition to normal routine, periodic interviews with the employees, group meetings and collective bargaining are the specific occasions where direct observation can help in unfolding the grievances .
- ▶ ***Grip boxes***: The boxes (like suggestion boxes)
- ▶ 3. ***Open door policy***:. Open door policy demands that the employees, even at the lowest rank, should have easy access to the chief executive to get his grievances redressed.
- ▶ 4. ***Exit interview***: Higher employee turnover is a problem of every organization.

- ▶ **8.3.2. Importance of handling employee grievances/complaints**
- ▶ A grievance is like an infection. Unless it is dealt with quickly, and efficiently, it will fester and may spread quickly, causing unnecessary pain and suffering (lower productivity, reduced co-operator and commitment).
- ▶ Unresolved dissatisfaction gives rise to:
 - ▶ (a) Employee frustration
 - ▶ (b) Deteriorating interpersonal relationships
 - ▶ (c) Low morale
 - ▶ (d) Poor performance seen in lower productivity and a poorer quality of output or service
 - ▶ (e) Disciplinary problems including poor performance by employee, resignation and loss of good staff
 - ▶ (f) Increased employee absenteeism.

▶ 8.4. Employee discipline

- ▶ Discipline may be defined as an attitude of mind which aims at inculcating restraint, orderly behavior and respect for and willing obedience to a recognized authority.
- ▶ In any industry discipline is a useful tool for developing, improving and stabilizing the personality of workers.
- ▶ Industrial discipline is essential for the smooth running of an organization, for increasing production and productivity, for the maintenance of industrial peace and for the prosperity of the industry and the nation.
- ▶ Discipline is a product of culture and environment and a basic part of the management of employee attitudes and behavior.

▶ 8.4.1. Objectives of discipline

- ▶ The main aims and objectives of discipline are:
- ▶ To obtain a willing acceptance of the rules, regulations and procedures of an organization so that organizational objectives can be attained;
- ▶ To develop among the employees a spirit of tolerance and a desire to make adjustments;
- ▶ To give and seek direction and responsibility;
- ▶ To create an atmosphere of respect for human personality and human relations;
- ▶ To increase the working efficiency morale of the employees

▶ 8.4.2. Indiscipline

- ▶ The term ‘indiscipline’ generally means the violation of formal or informal rules and regulations in an organization. Indiscipline, if unchecked, will affect the morale of the organization.

▶ 8.4.2.1. Causes for indiscipline in organizations

The important causes for indiscipline are:

- ▶ Ineffective leadership to control, coordinate and motivate workers.
- ▶ Low wages and poor working conditions.
- ▶ Lack of timely redress of workers’ grievances.
- ▶ Lack of defective grievance procedure.
- ▶ Character of the workers such as gambling, drinking, violent nature etc.
- ▶ Political influence



▶ 8.4.3. Approaches to Discipline

▶ The four steps to positive discipline are as follows

▶ *Counseling:.*

▶ *Written documentation.*

▶ *Final warning*

▶ *Discharge:*

CHAPTER NINE PROMOTION, TRANSFER AND SEPARATION

► 9.1. Introduction

- The movement of personnel within an organization can be termed as promotion, transfer, demotion and separation.

► 9.1.1. Definition of promotion

- According to Scott and Clothier, “A promotion is the transfer of an employee to a job which pays more money or one that carries some preferred status.”
- According to Prof Mamoria, “Promotion is a term which covers a change and calls for greater responsibilities, and usually involves higher pay and better terms and conditions of service and, therefore, a higher status or rank.”

► 9.1.2. Types of promotion

► A promotion involves an increase in status, responsibilities and pay.

► **1. Horizontal Promotion** an increase in responsibilities and pay, and a change in designation.

2. Vertical Promotion In vertical promotion, an employee crosses his/her job classification

3. Dry Promotion Dry promotion is a promotion as a result of which there is no increase in the employee's pay.

But increase in compensation.

► 9.1.3. Basis of Promotion

► Different promotion systems are used in different organizations. Of them the following are considered the most important:

► **Promotion Based on Seniority-** Seniority based promotion systems are based on the length of service of an employee in an organization

► ***Promotion Based on Merit***

- Under promotion based on merit, employees are promoted to higher positions purely on their performance and work record.
- Here, the management will look into the qualifications, experience, previous work record, performance capability etc.

► **Merit cum Seniority Promotion**

- Promotion based on —Merit cum Seniority|| would have a blend of the advantages of both the systems discussed above.
- Both the service seniority and work efficiency will be taken into account in promoting an employee
- Merit cum seniority method has been considered as the best method of promotion as it gives due weightage to the skill efficiency and better service record of the employee.

► **Promotion by Selection**

- Promotion by selection is a process through which employees are promoted after undergoing rigorous test and screening.
- Under this system employees with service seniority or better qualifications and experience need not be promoted automatically.
- The employees are put to various tests and interviews before a final selection is made and some employees are promoted.

► **Time Bound Promotion Scheme**

- Neither seniority nor merit will be considered here. The employees may have to pass some departmental examinations or tests for being considered for such a promotion.

► **Temporary Promotion Scheme**

- Such temporary promotion is no guarantee for a permanent promotion, though normally temporary promotions are automatically made permanent if the service of the employee during the officiating period is satisfactory.

▶ 9.1.4. Promotion Policy

- ▶ Whatever may be the type of promotion followed by the management, there should be a definite promotion policy which should be effective and protect the interests of the employees due for promotion.
- ▶ A concrete, comprehensive and realistic promotion policy should be evolved covering the following points:
- ▶ **Promotion Policy Statement**
- ▶ A corporate policy on promotion helps to state formally the organization's broad objectives, and to formulate both the organization's manpower and individual career plans.

- ▶ **Advantages of a Promotion Policy**-The following are the benefits of a good promotional policy:
- ▶ A good promotion policy provides an incentive to work more effectively as it recognizes an employee who comes out with better work.
- ▶ It develops employee loyalty by rewarding him and placing him in a higher position in the organization for his efficiency.
- ▶ It facilitates and increases job satisfaction.
- ▶ It increases work effectiveness in the organization.
- ▶ It also attracts efficient employees to the organization
- ▶ It increases employee interest in training and self-development.
- ▶ A promotion policy makes employees believe that their turn too will come and so they remain with the company.
- ▶ This reduces labor turnover.

- ▶ **9.2. DEMOTION** Demotion is a process by which the employee is downgraded and sent to a lower position from the one he is holding at present.
- ▶ When an employee is moved to a job with less responsibility, status or compensation he is said to be demoted. Demotion is the reverse of promotion.
- ▶ It is more a punishment for inefficiency or incompetence.
- ▶ **Causes of Demotion**
- ▶ Demotion may be used as a disciplinary weapon.
- ▶ Demotion may be resorted to when employees, because of ill health or personal reasons, cannot do their job properly.
- ▶ If a company curtails some of its activities, employees are often required to accept lower-level position until normally is restored.
- ▶ If an employee finds it difficult to meet job requirement standards, following his promotion he may be reverted to his old position.

► 9.3. TRANSFER

- A transfer is a change in job assignment.
- It does not involve a change in responsibility and status.
- A movement of an employee between equivalent positions at periodical intervals is called –transfer|.
- A transfer therefore does not involve a change of responsibility or compensation.
- Transfers are normally made to place employees in positions where they are likely to be more effective or where they are likely to get greater job satisfaction.
- Transfers may be either organization-initiated or employee initiated.
- A transfer may be either temporary or permanent, depending upon the need, and may occur within a department, between departments and divisions, or between plants within a company.

▶ 7.3.1. Types transfer

- ▶ There are different types of transfers depending on the purpose for which the transfers are made.
- ▶ **General transfer** during a particular period of the year wherein all employees having completed a given period of service in a post or at a place are involved.
- ▶ **Production transfer** are normally made from one department to another where the need for the employee is more.
- ▶ **Replacement transfers** are affected to replace persons leaving the organization, due to resignations, retirements, dismissal or death.
- ▶ **Shift transfers** are transfers of workers from one shift to another on the same type of work.
- ▶ **Remedial transfers** provide management with a procedure whereby an unsatisfactory placement can be corrected.
- ▶ **Punishment or Penal** This transfer is made as punishments to erring employees.

▶ 7.3.2. Transfer Policy

- ▶ Every organization should have a just and impartial transfer policy which should be known to each employee.
- ▶ It is, therefore, important that the company should formulate a policy to govern the administration of all types of employee transfers, rather than decide each case solely on the characteristics of that case.
- ▶ The absence of a well-formulated transfer policy will breed a state of uncertainty amongst the employees.
- ▶ For a successful transfer policy, proper job description and job analysis should be done.
- ▶ Further, care should be taken to ensure that frequent or large-scale transfers are avoided by laying down adequate procedures for the purpose.

▶ 7.4. SEPARATION

- ▶ Separation means cessation of service of agreement with the organization.
- ▶ Separation can be the result of:
- ▶ **Resignation**: is a voluntary separation
- ▶ **Discharge**: separation of an employee from the organization because of poor performance, or poor code of conduct
- ▶ **Dismissal**, A dismissal is the termination of the services of an employee by way of punishment for some misconduct, or for prolonged absence from duty.
- ▶ A dismissal needs to be supported by sufficient reasons and documentary evidences.
- ▶ Dismissal or discharge is a drastic step initiated by the employer; this step should be taken after careful analysis and thought.
- ▶ **Retrenchment** is termination of service due to redundancy
 - ▶ Surplus of staff.

► Layoff

- A lay off refers to an indefinite separation of the employee from the pay roll due to factors beyond the control of the employer.
- Layoff is resorted to by the employer for factors beyond his control. Such factors could be:
 - Fluctuations in the market resulting in loss of sales
 - Shortage of raw materials or power
 - Breakdown of machinery
 - Production delays

▶ **Golden Handshake .**

- ▶ It is a method of retrenchment wherein the employees with a certain minimum service can choose for voluntary retirement and get a fat lump sum in return.
- ▶ Government to reduce the size of the bureaucracy and close down chronically loss-making public sector enterprises .

▶ **Retirement**

- ▶ For those employees who retire, it is a significant milestone. Regardless of the age at which retirement occurs, workers may need preparation through counseling. They should be informed about pension choices and insurance benefits after retirement.